

7	Khatibi v. The Illumination Foundation 2024-01372249	Motion for Summary Judgment and/or Adjudication Defendant Paul Leon’s unopposed motion for summary judgment as to Plaintiff Dr. Nikan Khatibi’s Complaint is granted. “[F]rom commencement to conclusion, the party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law.” (<i>Aguilar v. Atlantic Richfield Co.</i> (2001) 25 Cal.4th 826, 850.) “A prima facie showing is one that is sufficient to support the position of the party in question.” (<i>Id.</i> at p. 851.) A defendant moving for summary judgment satisfies his or her initial burden by showing that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc., § 437c, subd. (p)(2).) The scope of this burden is determined by the allegations of the plaintiff’s complaint. (<i>FPI Development v. Nakashima</i> (1991) 231 Cal.App.3d 367, 381-382 [pleadings serve as the outer measure of materiality in a summary judgment motion]; 580 <i>Folsom Associates v. Prometheus Development Co.</i> (1990) 223 Cal.App.3d 1, 18-19 [defendant only required to defeat allegations reasonably contained in the complaint].) A cause of action cannot be established if the undisputed facts presented by the defendant prove the contrary of the plaintiff’s allegations as a matter of law. (<i>Brantley v. Pisaro</i> (1996) 42 Cal.App.4th 1591, 1597.) Alternatively, a moving defendant can show that a cause of action cannot be established by submitting evidence, such as discovery admissions and responses, that plaintiff does not have and cannot reasonably obtain evidence to establish an essential element of his cause of action. (<i>Aguilar v. Atlantic Richfield Co.</i>, <i>supra</i>, 25 Cal.4th at pp. 854-855; <i>Union Bank v. Superior Court</i> (1995) 31 Cal.App.4th 573, 590 [finding moving defendant may show plaintiff’s lack of evidence by factually devoid discovery responses after plaintiff has had adequate opportunity for discovery]; see <i>Scheiding v. Dinwiddie Constr. Co.</i> (1999) 69 Cal.App.4th 64, 80-81 [finding <i>Union Bank</i> rule only applies where discovery requests are broad enough to elicit all such information].) Plaintiff states two causes of action in his Complaint against Defendant Leon, for negligent misrepresentation and intentional misrepresentation. The elements of negligent misrepresentation are: (1) the misrepresentation of a past or existing material fact; (2) without reasonable ground for believing it to be true; (3) with intent to induce
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another's reliance on the fact misrepresented; (4) justifiable reliance on the misrepresentation; and (5) resulting damage. (*Apollo Capital Fund, LLC v. Roth Capital Partners, LLC* (2007) 158 Cal.App.4th 226, 243.)

The elements of fraud/intentional misrepresentation are "(a) misrepresentation (false representation, concealment, or nondisclosure); (b) knowledge of falsity (or 'scienter'); (c) intent to defraud, i.e., to induce reliance; (d) justifiable reliance; and (e) resulting damage." (*Lazar v. Superior Court* (1996) 12 Cal.4th 631, 638.)

In moving for summary judgment, Defendant submits evidence including excerpts from Plaintiff's deposition transcript, Plaintiff's responses to written discovery, the Mesa Property Purchase Agreement, text messages between the parties, and a declaration from Defendant Paul Leon. (ROA 238, Defendant's Notice of Lodging.)

The alleged misrepresentations consist of (1) a text message from Defendant regarding his conversation with Jack about opening the business while ½ was still under construction, (2) an assurance that Defendants "were developing a post-acquisition plan for continued revenue generation from the Mesa Project" in response to Plaintiff's request for the lease terms in writing, and (3) an agreement "that payments would be based on Orange County's payment rate standards." (UMF 20, 21; Ex. J, Plaintiff's responses to Defendant Paul Leon's Special Interrogatories, Set One, No. (1); and (2).)

First, the statements that Defendant made that Plaintiff contends are misrepresentations are not actionable misrepresentations.

"The law is well established that actionable misrepresentations must pertain to past or existing material facts. Statements or predictions regarding future events are deemed to be mere opinions which are not actionable." (*Cansino v. Bank of America* (2014) 224 Cal.App.4th 1462, 1469.) Furthermore, statements of opinion are not actionable under theories of fraud. (*Gentry v. eBay, Inc.* (2002) 99 Cal.App.4th 816, 835.)

The evidence shows only that Defendant stated that Jack agreed they could open half the business while under construction, which is a future event/statement of opinion. Defendant's assurances to Plaintiff that they were developing a plan for revenue generation and statements regarding lease payments are too vague to qualify as misrepresentations. (See *Conrad v. Bank of America* (1996) 45 Cal.App.4th 133, 156, (court concluded that a borrower's vague

		testimony of lender’s statement “[n]o problem” concerning future loan applications, and that lender “agreed to process the loan application and said he would comply” was insufficient to establish false promise to make loan).) Second, Defendant’s evidence establishes that any reliance by Plaintiff on Defendant’s statements was not reasonable. Plaintiff is a well-educated individual with business experience, who previously purchased property and entered into a written lease, similar to the subject Mesa Property. (UMF 1-7, 10, 12.) It is not reasonable for Plaintiff to rely on the messages from Defendant Leon that he identifies in his responses to written discovery, which are vague and speculative, as a reason to purchase the Mesa Property without a guarantee of a Lease. Moreover, Defendant did not have authority to bind The Illumination Foundation as he had resigned from the board. (UMF 13-19) Furthermore, Defendant submits evidence that Plaintiff was aware at the time he purchased the Mesa Property that any future lease agreement for the Mesa Property would be contingent on Illumination Foundation receiving funding to operate the property, which had not yet occurred. (UMF 13, 25-25.) Defendant meets its burden as the moving party to show that multiple elements of Plaintiff’s two misrepresentation causes of action cannot be established. Once a defendant meets its prima facie showing, the burden shifts to the plaintiff to show by reference to specific facts the existence of a triable issue as to that affirmative defense or cause of action. (<i>Aguilar v. Atlantic Richfield Co.</i>, <i>supra</i>, 25 Cal.4th at p. 850.) Plaintiff did not oppose this motion, and thus fails to meet his burden to establish a triable issue of material fact. Defendant shall give notice.
8	Lopez v. Trans-Pak Inc. 2024-01437506	Motion for Leave to File Cross Complaint Defendant Trans Pak, Inc.’s unopposed motion for leave to file its proposed cross-complaint against BaronHR and Luis Perez is granted. [ROA #86.] Defendant is to file its proposed cross-complaint no later than August 17, 2026.